

JUDGMENT SHEET***PESHAWAR HIGH COURT
ABBOTTABAD BENCH
(Judicial Department)*****RFA No.12/2024*****Muhammad Ijaz.***

.....(Appellant/s)

*V e r s u s.****Zia-ul-Haq.***

.....(Respondent/s)

Present:*Abdul Aziz Tanoli, Advocate for
appellant**Mr. Saeed ur Rehman, Advocate for
respondent.*Date of hearing: **02.07.2026.****J U D G M E N T**

SYED MUDASSER AMEER, J. Through this Regular First Appeal, the appellant has called in question the judgment and decree dated 07.12.2023 passed by the learned Additional District Judge-III, Abbottabad, whereby the suit instituted by the respondent under Order XXXVII of the Code of Civil Procedure, 1908, was decreed.



2. Briefly stated, the respondent instituted a summary suit for recovery on the basis of a cheque for Rs.700,000/-, alleging that it had been issued by the appellant in connection with business dealings relating to mining and lease rights. The appellant sought leave to defend, which was granted. He thereafter filed

written statement, contested the claim on facts as well as law, and both parties led evidence in support of their respective cases. Upon conclusion of the trial, the learned trial Court decreed the suit mainly on the strength of the cheque and the statutory presumption attached to negotiable instruments. Hence, this appeal.

3. Heard. Record perused.

4. The controversy in the present appeal lies within a narrow compass. The question is not whether the cheque bears the appellant's signatures, nor whether some business dealings existed between the parties. The real question is whether a cheque, which was never proved to have been presented before the drawee bank within a reasonable time and whose dishonour was never established, could furnish a valid cause of action for a summary suit under Order XXXVII, C.P.C. In the opinion of this Court, the answer must be in the negative.

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5. A cheque is a bill of exchange payable on demand. Sections 6, 72 and 84 of the Negotiable Instruments Act, 1881, make presentment of the cheque within a reasonable time an essential step before liability can be enforced against the drawer. Unless the cheque is presented for payment and payment is refused, no legal cause of action matures for maintaining a suit founded upon the cheque under the summary procedure. In *Khalifa Azhar Mumtaz v. Ghulam Akbar* (2014 CLC 1448), the Lahore High Court, while interpreting Sections 72 and 84 of the Negotiable Instruments Act, held:

“Admittedly, the cheque was never presented in the bank for payment. When the cheque was never presented for payment, in the light of section 72 read with section 84 of Negotiable Instruments Act (XXVI of 1881), therefore, there is no refusal by the drawer or the bank for payment of cheque, therefore, no cause of action accrued to the plaintiff for filing of suit under Order XXXVII of the C.P.C.”

It was further observed:

“Cheque is only payable on demand and cause of action arose only when such demand is not honoured.”

6. The same principle has recently been reaffirmed by the Balochistan High Court in *Syed Matiullah Agha v. Haji Muhammad Hussain alias Haji Muhammad Hassan* (PLD 2025 Balochistan 28), wherein, after an exhaustive review of the Negotiable Instruments Act and the earlier authorities, it was held that presentment of a cheque is a condition precedent for maintaining a suit under Order XXXVII, C.P.C., and that where a cheque is not presented before the bank, no cause of action accrues on the basis of such instrument.

7. Examined in the light of these settled principles, the respondent's case suffers from a fundamental defect. The record is completely silent regarding presentation of the cheque before the concerned bank. No bank official was produced. No cheque return memo, dishonour slip, bank certificate or any other banking document was brought on record to establish that the cheque was ever presented and payment refused. In the absence of proof of presentment and dishonour, the very foundation of the summary suit disappears. The statutory presumption attached

to a negotiable instrument cannot dispense with proof of those foundational facts which give rise to the cause of action itself.

8. There is another equally significant aspect of the matter. The cheque admittedly bears the date **25.05.2015**, whereas the suit was instituted on **11.09.2017**, more than two years later. By then, the cheque had long ceased to be a valid negotiable instrument for ordinary banking purposes. Section 84 of the Negotiable Instruments Act requires presentment within a reasonable time. What constitutes "reasonable time" is to be determined with reference to the nature of the instrument, banking usage and surrounding circumstances. Banking practice has consistently recognised that a cheque not presented within six months becomes a stale cheque and is ordinarily not honoured unless revalidated by the drawer. In *Habib Bank Limited v. Jamilur Rehman* (1994 MLD 271), it was held:

“Generally speaking, a cheque presented more than six months after the ostensible date of its issue, is considered a stale one... both in England and in Pakistan a period of six months is allowed for presentation of cheques according to the practice of bankers.”

Likewise, in *Al-Hamd Edible Oil Industries (Pvt.) Ltd. v. Syed Waseem Hyder* (2008 CLD 1183), it was held that:

“Unless a cheque is presented for payment within a reasonable time of its issue, no right to recover the amount accrues.”

9. The learned trial Court appears to have proceeded on the premise that once execution of the cheque stood proved, the respondent automatically became entitled to a decree. With

respect, the approach overlooks the distinction between the existence of a negotiable instrument and the accrual of a cause of action under Order XXXVII, C.P.C. A cheque may raise a statutory presumption regarding consideration, but that presumption cannot cure the complete absence of presentment and dishonour. The summary procedure being an exceptional remedy, the plaintiff must bring his case strictly within the statutory requirements before he can invoke its benefit.

10. It was faintly argued that the cheque had been issued in connection with an underlying business transaction between the parties. Even if such transaction is assumed for the sake of argument, it cannot validate a summary suit founded upon a cheque which was neither presented nor dishonoured and had become stale long before institution of the proceedings. The respondent, if otherwise entitled in law and subject to limitation, may pursue any independent remedy available on the basis of the underlying transaction. That question, however, does not arise in the present proceedings. The only question before this Court is whether the decree passed under Order XXXVII, C.P.C. can be sustained on the basis of the cheque in question. For the reasons already discussed, it cannot.

11. The learned trial Court, therefore, misdirected itself in law while decreeing the suit. The impugned judgment suffers from a patent misapplication of the provisions of the Negotiable Instruments Act, 1881, and the settled principles governing suits under Order XXXVII, C.P.C.

12. Consequently, this appeal is allowed. The judgment and decree dated 07.12.2023 passed by the learned Additional District Judge-III, Abbottabad, are set aside. As a necessary consequence, the suit instituted by the respondent under Order XXXVII, C.P.C. stands dismissed. There shall, however, be no order as to costs.

Announced.

02.07.2026

(Tahir/CS)


JUDGE